

ECONOMICS

Paper 1 Multiple Choice (Core)

9708**October/November 2019****1 h**

Additional Materials: Multiple Choice Answer Sheet
Soft clean eraser
Soft pencil (type B or HB is recommended)

READ THESE INSTRUCTIONS FIRST

Write in soft pencil.

Do not use staples, paper clips, glue or correction fluid.

Write your name, Centre number and candidate number on the Answer Sheet in the spaces provided unless this has been done for you.

NOT WRITE IN ANY BARCODES.There are **thirty** questions on this paper. Answer **all** questions. For each question there are four possible answers **A, B, C** and **D**.Choose the **one** you consider correct and record your choice in **soft pencil** on the separate Answer Sheet.**Read the instructions on the Answer Sheet very carefully.**

Each correct answer will score one mark. A mark will not be deducted for a wrong answer.

Rough working should be done in this booklet.

Zarak Mushtaq

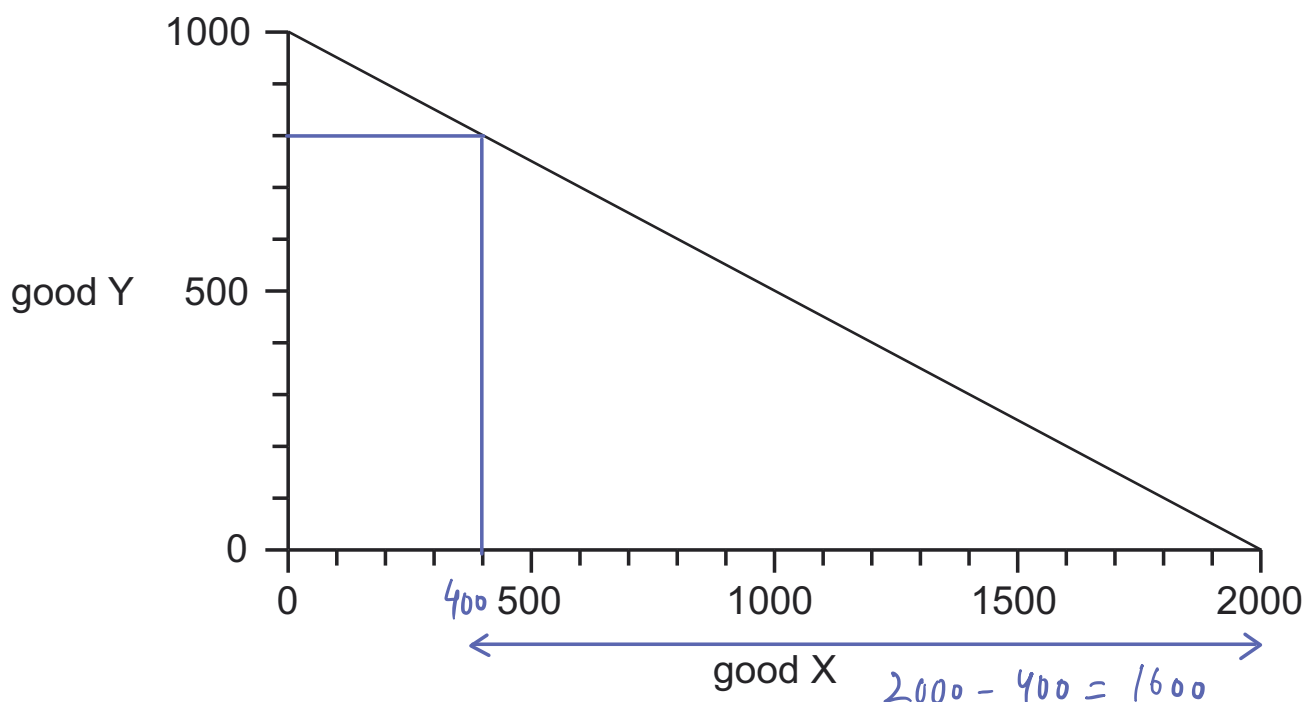
Solved with reasons

B petrol (gas) stations

C streetlights (free rider problem) (Price can't be attached) (Non-rival, Non-excludable)

D toll bridges

The diagram shows a production possibility curve for an economy that produces only two goods, X and Y.



The economy produces 800 of good Y and produces on its production possibility curve.

Which quantity of good X is given up?

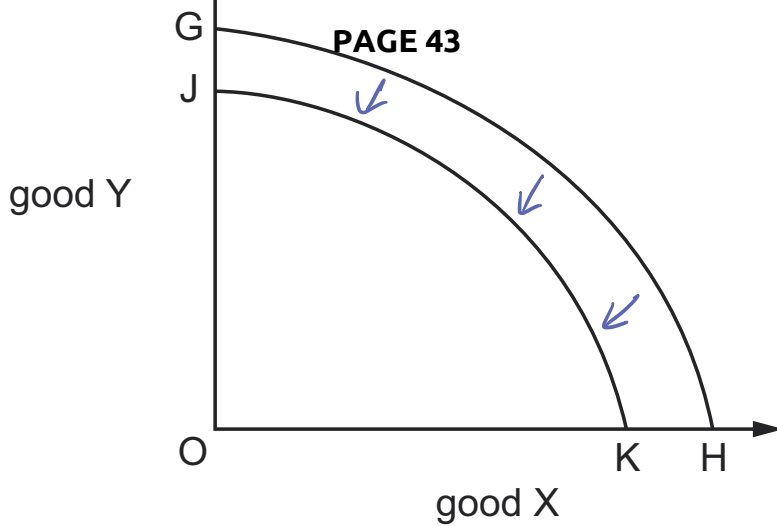
A 200

B 400

C 800

D 1600

↓
2000 (Max units) of good X could have been produced but 400 is being produced therefore 1600 units of good X is given up.



What could cause the curve to shift to JK?

- A a decrease in net exports
- B an increase in the average price level
- C an increase in the unemployment rate

☒ D net outward migration, *reduction in resource*

} *Effect on point inside the PPC that is actual*

Unemployment among young people in Spain was 56.1% in June 2013. Youth unemployment in Spain should be reduced.

Which combination correctly describes these two statements?

	unemployment among young people in Spain was 56.1% in June 2013	youth unemployment in Spain should be reduced
A	normative statement	normative statement ✓
B	normative statement	positive statement
☒ C	positive statement ✓ <i>Fact</i>	<i>opinion</i> normative statement ✓
D	positive statement ✓	positive statement

A Positive Statement

- Can be checked against evidence
- It is a **statement of fact** and can be proved or tested
- It is **OBJECTIVE** - either right, or wrong

A Normative Statement

- Is based on opinion – somebody's view
- It is a statement of what 'ought to be' (like words like 'should', or it's not 'fair')
- It is **SUBJECTIVE** – a value judgement

A government tried to increase the sales of cars by offering consumers \$3000 if they scrapped any car over 10 years old and bought a new one. *Demand ↑*

How would this be shown on a demand and supply diagram for new cars?

A The demand curve would move to the left. *Demand ↓*

☒ **B** The demand curve would move to the right.

C There would be a shift along the demand curve to the left.

} *movement*

☒ A Good X has a perfect price elasticity of demand.

☐ B Good X has a perfect price inelasticity of demand.

☐ C Good Y has a perfect price elasticity of demand.

☐ D Good Y has a perfect price inelasticity of demand.

A businessman had intended to borrow \$5000 at an interest rate of 8% per year. When interest rate rose to 10% he decided to borrow only \$4000.

Within what range is his interest elasticity of demand for loans?

☐ A 0.0 to -0.3

☐ B -0.4 to -0.7

☒ C -0.8 to -1.2

☐ D -1.3 to -1.7

$$\frac{4000 - 5000}{5000} \times 100 \Rightarrow -20\%$$

$$= -0.8$$

$$\frac{10 - 8}{8} \times 100 \Rightarrow +25\%$$

$$\frac{\text{New} - \text{old}}{\text{old}} \times 100$$

$$\frac{5000 - 4000}{4000} \times 100 = -25\%$$

$$\frac{8 - 10}{10} \times 100 = -20\%$$

What is **not** held constant when aggregating individual firms' supply curves to give the short-run market supply curve?

(option A, C and D causes shift)

☐ A the number of firms in the industry

☒ B the price of the product

☐ C the prices of factors of production

☐ D the state of technology

Market Supply

is total supply brought to the market by producers at a given price. To calculate, sum the individual supply schedules

Firm A's supply +	Firm B's supply +	Firm C's supply +	= Market Supply
30	0	5	35
45	10	15	70
65	20	40	125
100	30	70	200

is not necessarily the amount that is actually sold, since, if the price is too high, some consumers will wish to buy the product, it will remain unsold

Perfectly Elastic Demand (Ped = infinity)

If the co-efficient of PED = infinity, then demand is perfectly elastic – there is one price at which consumers are prepared to pay

- If demand for a product is **perfectly elastic**, a change in market supply (shown on the right as an outward shift of supply) will not lead to any change in the equilibrium price. This demand curve applies to highly **competitive markets** where no supplier has any "pricing power"



Market Supply

- As with market demand, **market supply** is the horizontal summation of individual firms' supply curves.



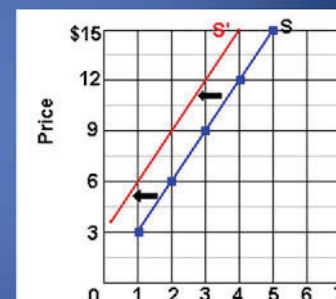
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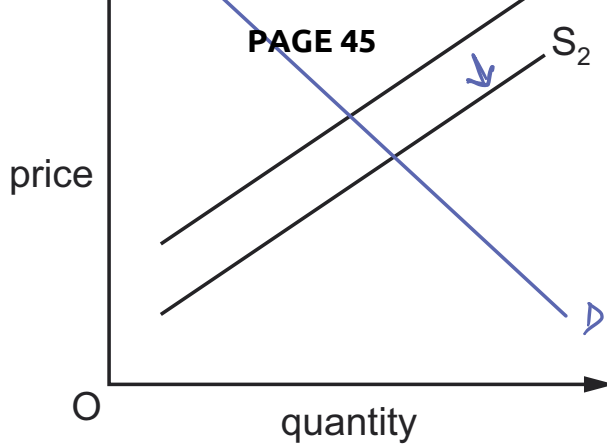
Principles of Economics, 6/e

Karl Case, Ray Fair

Factors Affecting Market Supply

- Cost of Production Changes**
 - 4 factors of production (natural resources)
 - Includes productivity (labor)
 - Includes technology (entrepreneurship)
- Government policies changes**
 - Tighter government regulations restrict supply
 - Relaxed regulations lower the cost
 - Higher taxes = higher cost
 - Subsidies lower cost
- Producers expectations change** (as in expected price)
- Price of other good produced by the same company**
- Change in the number of**



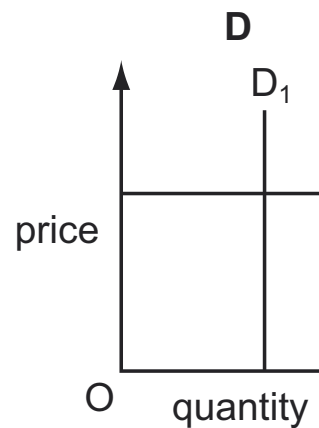
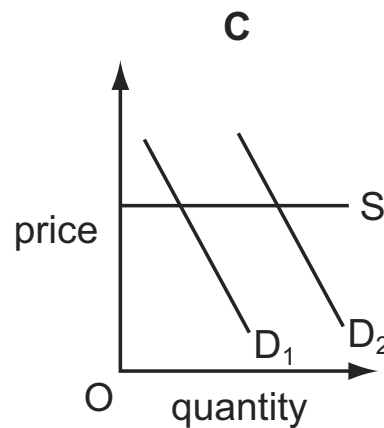
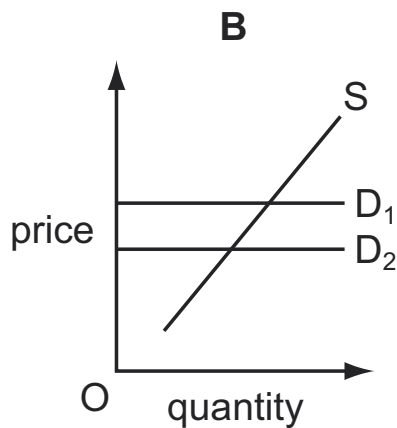
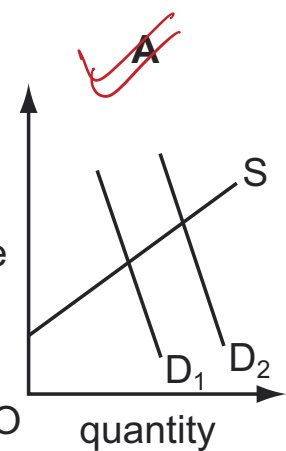


What could cause the curve to shift to S_2 ? *Supply ↑*

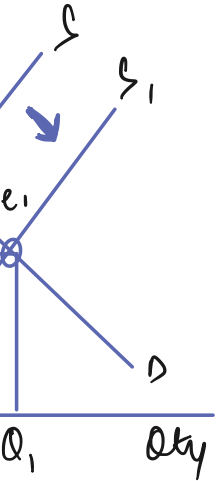
- A an increase in the price of a substitute good *shifts demand*
- ☒ B an increase in the profitability of supplying good X *More production*
- C an increase in the wage rates paid by good X suppliers *Supply ↓*
- D the introduction of a specific tax on good X *Supply ↓*

A competitive industry producing textbooks experiences an increase in demand for its product.

Which diagram illustrates the effect on the industry of this increase in demand in the short-run? *Δ↑*



Very difficult



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price per kg cents	amount demanded kg (thousands)	amount supplied kg (thousands)
30	11	22
25	12	19
20	13	17
15	15	15
10	17	13
5	20	11

Equilibrium

The government pays a subsidy of 10 cents per kg to producers.

What will be the new equilibrium price?

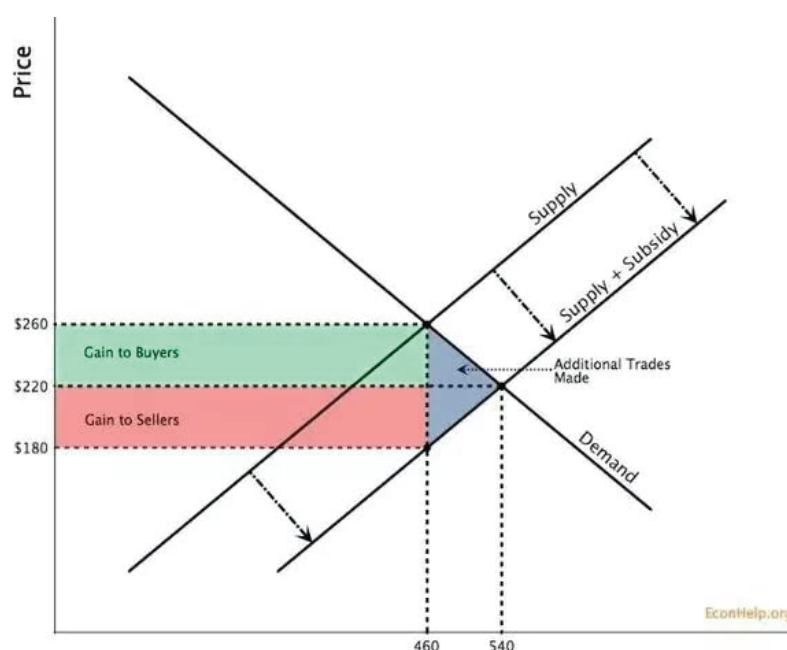
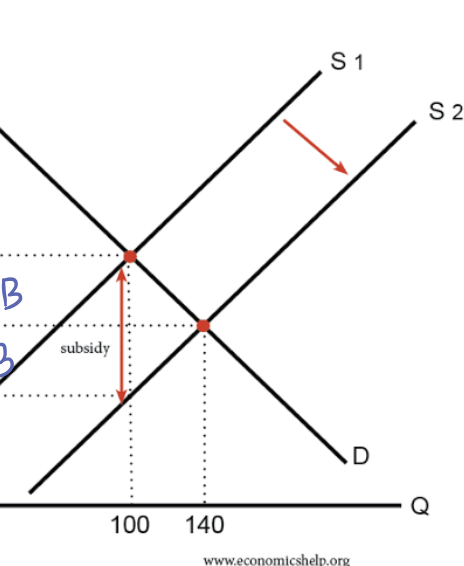
A 5 cents

B 10 cents

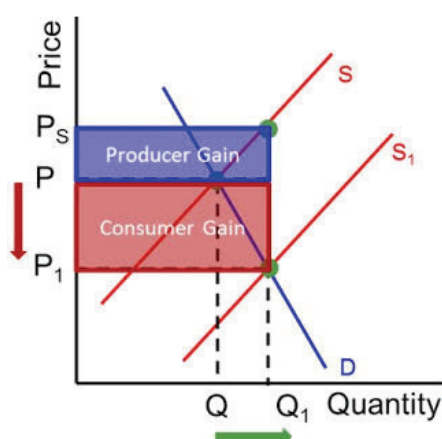
C 15 cents

D 20 cents

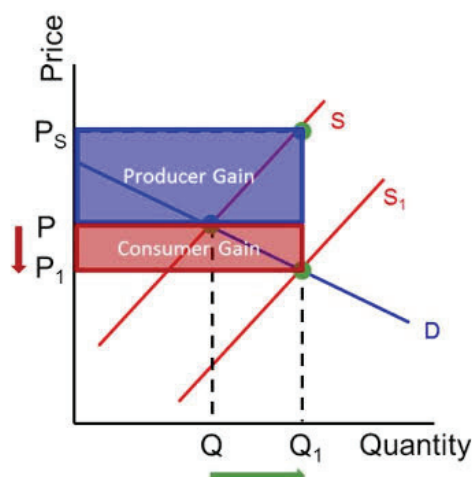
* Subsidy is a benefit divided among consumers and producers

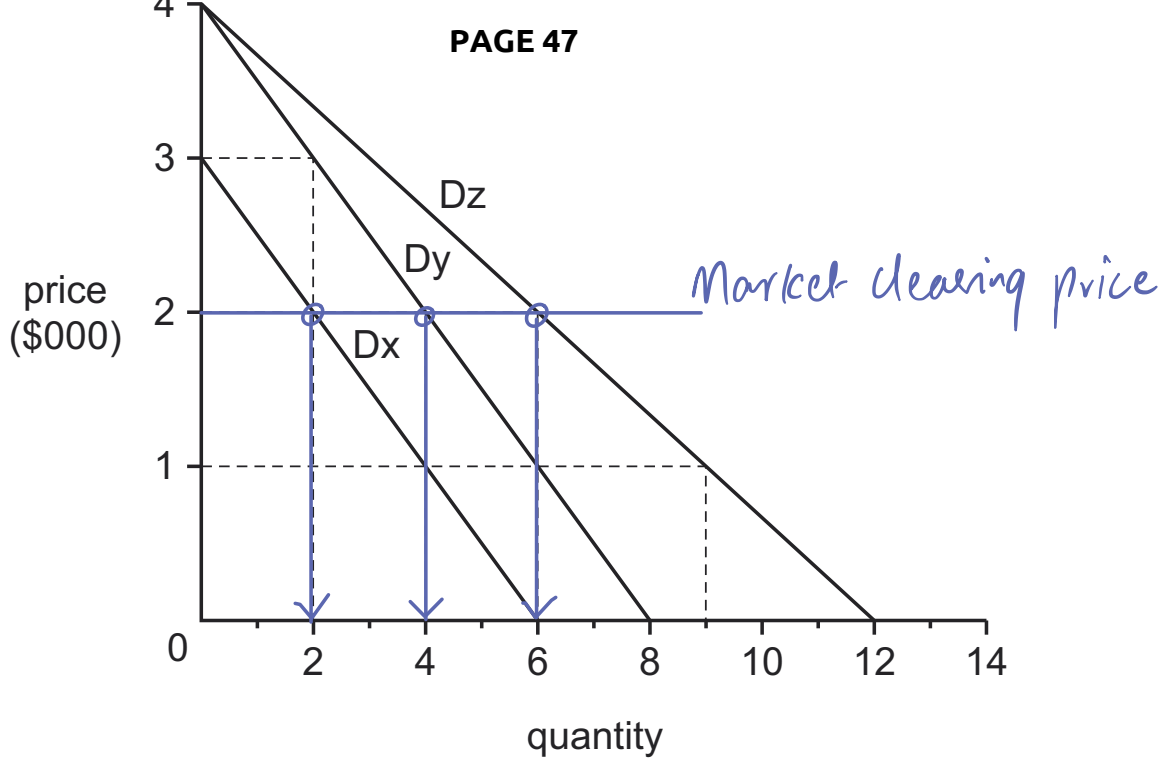


INELASTIC



ELASTIC





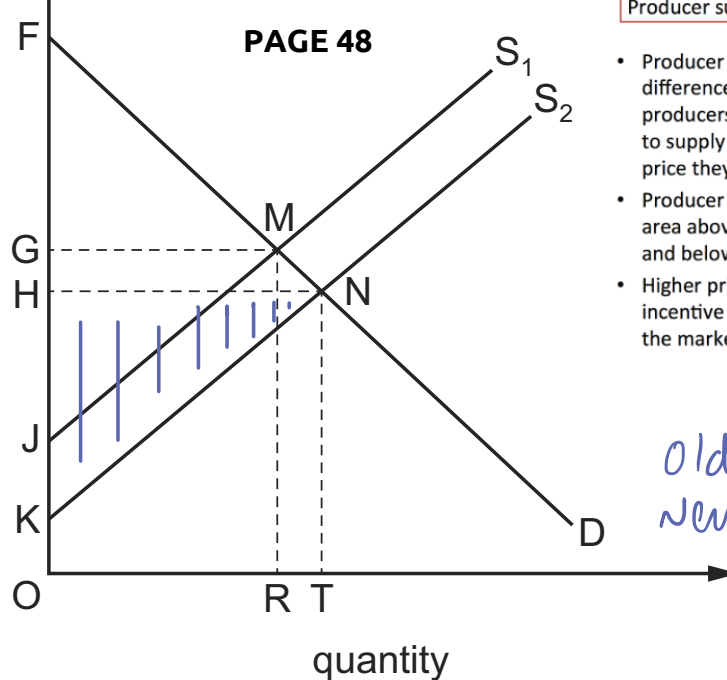
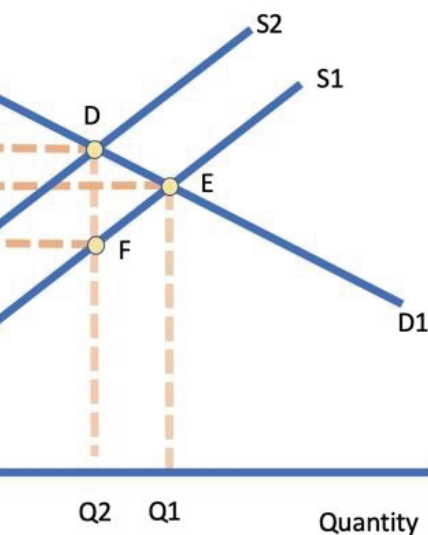
X, Y and Z initially own 4 clocks each. They come together to trade between themselves.

At the market clearing price (or equilibrium price), what is correct?

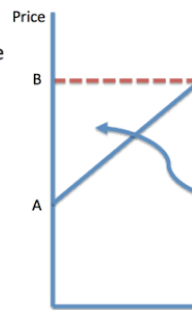
	buyer(s)	seller(s)
A	X	Y and Z
B	Y and Z	X
C	X	Z
D	Z	X

$\Rightarrow$ X had 4,
 now has 2,
 it sold 2,
 thus X is the
 seller

$\Downarrow$
 It has '6'
 now, 4 earlier,
 thus Z is
 buyer



- Producer surplus is a measure of producer welfare
- Producer surplus is the difference between what producers are willing and able to supply a good for and the price they actually receive
 - Producer surplus shown by area above the supply curve and below the market price
 - Higher prices provide an incentive to supply more to the market (profit motive)



old P.S at 'M' :- G
new P.S at 'N' :- H

New entrants have come into the market, shifting supply from S_1 to S_2 .

Which area represents the new producer surplus?

- ☒ A HNK ☐ B HNF ☐ C GMJ ☐ D KNT

What would be least likely to have an external benefit?

- ☒ A a new drug to prevent malaria in Nigeria
- ☐ B the granting of permission to develop a rural area in Bangladesh
- ☐ C the imposition of a quota on fishing in the Atlantic Ocean
- ☒ D the purchase of tickets to attend the Olympics in Brazil, *not an externality as the price attached to it!*

Which statement is correct?

- ☐ A External cost is the sum of social cost and private cost. $SC - PC = EC$
- ☐ B Private costs are usually larger than social costs. *Never*
- ☐ C Social costs are usually smaller than external costs. *Never*
- ☒ D Social cost is the sum of private cost and external cost.

$$SC = PC + EC$$

	project 1	project 2	project 3	project 4
private benefit (\$ million)	100	110	120	150
external benefit (\$ million)	120	100	90	80
	<i>SB</i> 220	210	210	230

Which two projects would the government choose?

- A 1 and 2 ~~B~~ 1 and 4 C 2 and 3 D 3 and 4

\$20

\$30

What will make it most likely that road tolls will reduce traffic congestion?

A Cross-elasticity of demand between private and public transport is zero.

B Demand for car use is income-elastic.

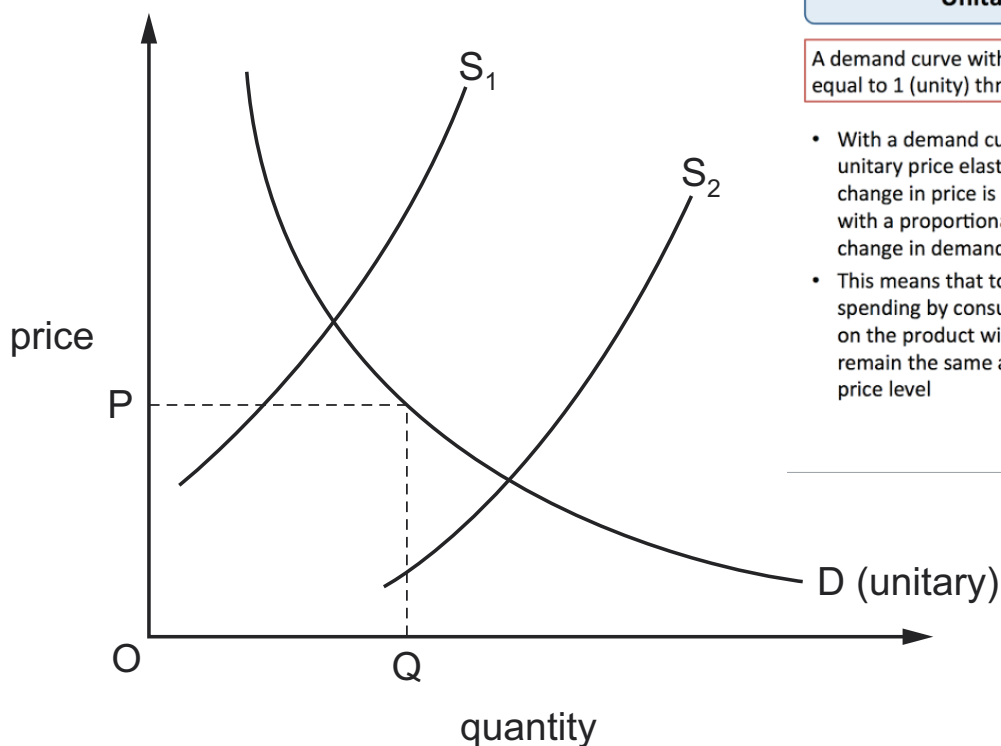
~~C~~ Demand for car use is price-elastic. *Price ↑ QD ↓ consumption ↓ External cost ↓*

D Supply of public transport is price-inelastic.

TR unchanged

The diagram shows the demand curve for an agricultural commodity that has unitary elasticity.

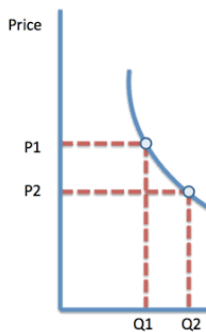
S_1 is the supply curve if there is a bad harvest and S_2 is the supply curve if there is a good harvest.



Unitary Elastic Demand ($Ped = 1$)

A demand curve with unitary price elasticity has a coefficient of elasticity equal to 1 (unity) throughout

- With a demand curve of unitary price elasticity, a change in price is met with a proportionate change in demand
- This means that total spending by consumers on the product will remain the same at each price level



What should the government do to keep the total revenue of farmers the same?

~~A~~ allow the price of the commodity to be determined by the market

B fix the price paid to farmers at price OP

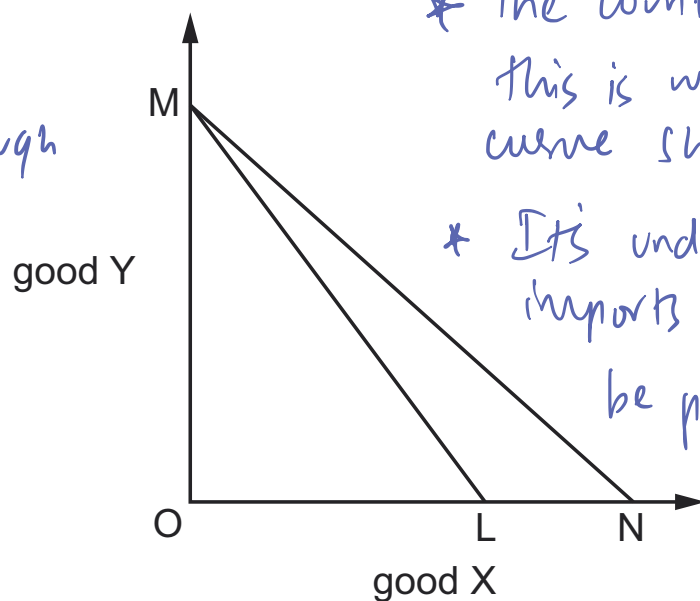
C introduce a quota on production equal to OQ

(As no policy w benefit)

Trading possibility curve.

Outside the PPC,
the unattainable through
PPC, therefore need
arises.

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* The country is importing X,
this is what trading possibility
curve shows

* It's understood that if a country
imports good X then it must
be producing good Y and
specialized in it.

What does the diagram show?

- A The economy's consumers prefer good X to good Y.
 - B The economy's consumers prefer good Y to good X.
 - C The economy has a comparative advantage in the production of good X.
 - ☒ D The economy has a comparative advantage in the production of good Y.
- constant opportunity cost
no relevant data, line
(It's import)

A group of people in a country start a campaign for free trade because they believe that
benefit the economy.

Which argument in favour of free trade is not likely to appear in their campaign?

- A It encourages competition between producers in different countries.
 - B It encourages global specialisation and better product quality.
 - C It gives consumers a greater choice of products from other countries.
 - ☒ D It lets countries dump cheap surplus products in other countries.
- All features of
free trade!

↓
as it leads to protectionism

year	prices (2010 = 100)	prices (2010 = 100)
2005	48.1	57.0
2015	122.4	120.8

$$\frac{X_{\text{prices}} \uparrow}{M_{\text{prices}} \uparrow} \times$$

Which statement about the period 2005 to 2015 is correct?

- A** The balance of payments worsened. *Requires current, capital and financial accounts*
- B** The balance of trade improved. *Requires revenues and expenditures*
- C** The exchange rate appreciated. *Requires PPP*
- D** The terms of trade worsened. *M prices ↑ faster than X prices*

A foreign government pays a UK university to educate its students.

How would this be recorded on the balance of payments current account of the UK?

	current account component	money flows
A	current transfers	inflow ✓
B	current transfers	outflow
C	<u>trade in services</u>	inflow ✓
D	<u>trade in services</u>	outflow

⇒ Received (credit) by UK

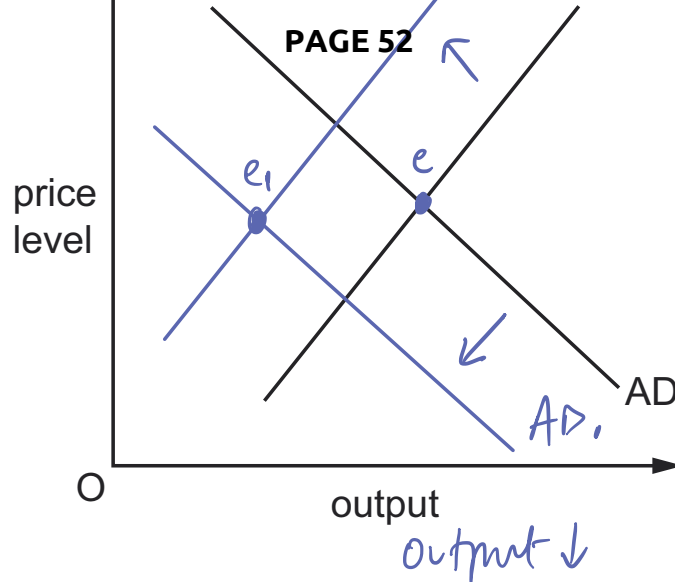
incomes ↓

Production ↓

During a recession, when there was a large fall in national output, the increase in unemployment in an economy was much lower than expected.

What might have accounted for this?

- A** a decrease in labour productivity *output per worker ↓, inefficiency ↑*
- B** a decrease in net outward migration
- C** a decrease in part-time working
- D** a decrease in the number of students



How are the curves likely to be affected by a natural disaster that destroys a large proportion of an economy's resources?

PPC ↓

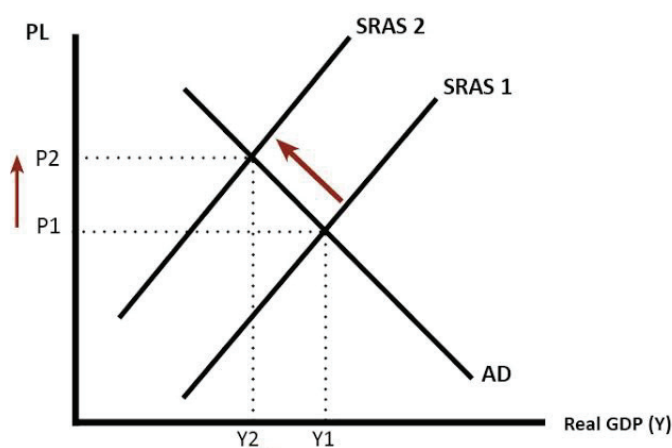
AS ↓ + AD ↓

	AD curve	AS curve
A	shift to left	shift to left
B	shift to left	shift to right
C	shift to right	shift to left
D	shift to right	shift to right

What is the most likely cause of cost-push inflation in an economy?

- A an increase in the exchange rate, *Appreciation leads to Trade deficit, AD ↓*
- B an increase in the money supply, *Monetary inflation, part of demand pull*
- ~~C~~ an increase in the prices of imports
- D an increase in the rate of income tax, *Contractionary fiscal policy, AD ↓*

red inflation
material imported
ic demand
↑



Cost-push inflation vs. Demand-pull inflation

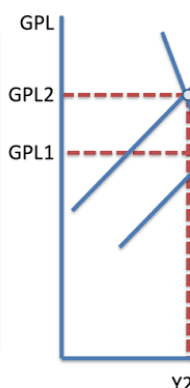
1973: Price of oil ↑ OPEC oil embargo.
1979: Price of oil ↑ Iranian revolution.
Oil is a major factor of production, so if P ↑ and consumption ↓ then

Late 1960's: G ↑ due to the Vietnam war
1965: G ↑ due to US' War on Poverty.
Insufficient increases in taxation led to deficit spending and a rightward shift in the aggregate

Cost-Push Inflation using AD-AS Diagram

Cost-push inflation occurs when firms respond to rising costs by increasing their prices to protect profit margins. Can be caused by:

1. Rising unit labour costs
2. Higher prices for important components/raw materials
3. A depreciation in the exchange rate causing a rise in import costs
4. An increase in business taxes e.g. VAT or environmental taxes such as a carbon tax



	PAGE 53	
1		100
2		110
3		105
4		103
5		108

* None less than 1
 * If in minus, then only it 'fall'
 that is negative inflation or Deflation

What can be concluded from the table?

A Prices fell continuously from year 2 to year 5.

~~B~~ Prices rose between year 1 and year 5. (Apply the concept of disinflation)

C Prices rose only from year 1 to year 2.

D Prices were at their highest in year 5.

A Japanese company builds a factory in the UK to supply both the UK market and the market in the rest of Europe.

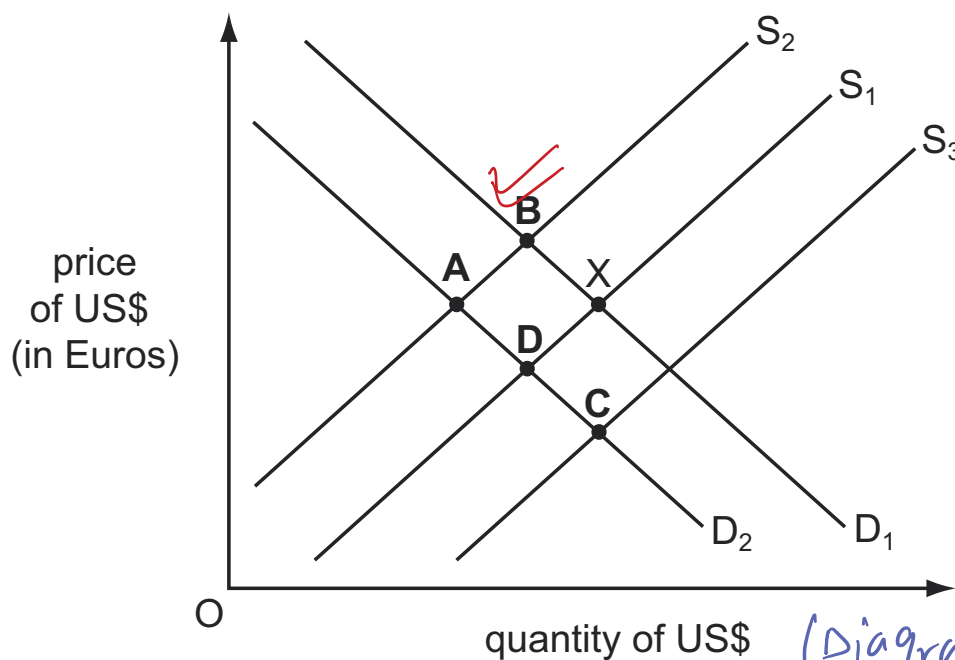
What is likely to be the long-run impact on the UK's balance of trade in goods and on its current account balance?

	balance of trade in goods	current account balance
A	improve ✓	improve
B	improve ✓	uncertain ✓
C	worsen	improve
D	worsen	uncertain ✓

↓
 BOT improves as there will be exports from UK, resulting increase in export revenue

* Current account balance with uncertain components, in goods, trade services, net and net trade. So, no relevant data!

European consumer goods?



↓
Less imp
by US res
↓

↓
Less paym
will be m
↓
Supply d

in the absence of offsetting changes, what would be likely to increase if a country's exchange rate appreciates?

- A the cost of imported consumer goods *Appreciation, M prices ↓, cost ↓*
- B the level of domestic inflation *Appreciation, BOT deficit, AD ↓, inflation ↓*
- ☒ C the rate of unemployment *Appreciation, X prices ↑, BOT deficit, incomes ↓, AD ↓*
- D the volume of manufacturing exports *Appreciation, X prices ↑, X Qty ↓*

Tourism is seen as a good way of increasing net export earnings. Luxury tourism, such as wild safaris and cultural tours, is considered by an economy to have a very price-inelastic demand.

If this is correct, which is most likely to increase export revenue earned by this economy from luxury tourism?

- A a depreciation of the economy's currency *X prices ↓*
- B a reduction in the taxes levied on hotels *Prices ↓*
- ☒ C an appreciation of the economy's currency *X prices ↑ X Qty ↓ X TR ↑*
- D cheap government loans to increase the construction of hotels *Prices ↓*

the rate and
have a positive
relationship

* Inelastic demand
Prices and total
revenue have a
positive relationship

